

Kassouf had already been trading warrants and making fairly steady money by hedging his warrant positions. We started working together, a joint endeavor that ultimately led to our co-authoring *Beat the Market*.

Did *Beat the Market* have an option pricing formula in it?

It had Kassouf's empirically based formula.

How close was that to the formula you eventually developed?

It was entirely different.

Why would you write a book telling people how to price warrants and find mispriced trade opportunities when that information was not yet out there?

We actually answer that question in the book. We thought it was only a matter of time before other people came up with similar discoveries. We reasoned that if we were the first to write about it, prospective investors would read the book and come to us, and we would be able to manage money.

Do you think that was the right decision? Don't you think you and Kassouf might have been better off exploiting the warrant trading on your own instead of publishing the ideas?

I don't think so because historically ideas don't just appear in one place; they tend to appear in several places at almost the same time.

Like Newton and Leibniz.

Exactly, or Darwin and Wallace.

When did you start managing money?

It sort of happened on its own while I was at UCI. Both Kassouf and I were managing our own accounts. Word got out on campus, and people started asking us to manage their money. People who invested were making over 20 percent per year, and they told their friends. Before long, I had a dozen accounts, and a lot of happy people on campus.

What was the strategy you were using at that time?

The theme in *Beat the Market* was that warrants with less than two years to run typically traded at premiums that were too high. The typical trade